



FINLY

CONTROLLED-DELEGATION OPTIONS AGENT

A good backtest should still have to earn the right to trade.

Finly separates market judgment from capital-bearing authority and demonstrates the distinction by withholding promotion from its strongest internal historical candidate.

Bruce Wen · Brandeis University · Alpaca AI Trading Agents Hackathon

Market judgment and trading authority should be evaluated as different capabilities.

JUDGMENT

What does the evidence suggest?

A model may assess bounded evidence, explain uncertainty, be reassessed under a code-owned challenge, or veto.

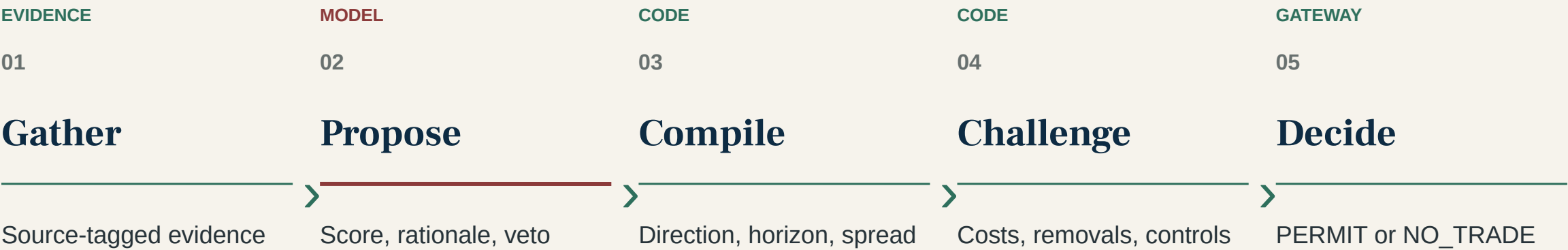
Finly's claim is deliberately narrow: useful interpretation does not automatically confer trading authority.

AUTHORITY

What may place capital at risk?

Deterministic code owns direction, horizon, option structure, maximum loss, order fields, and the final permit decision.

Finly gives the model evidentiary rights while reserving capital-bearing decisions for code.



THE MODEL MAY INFORM OR VETO

— but it never writes the order.

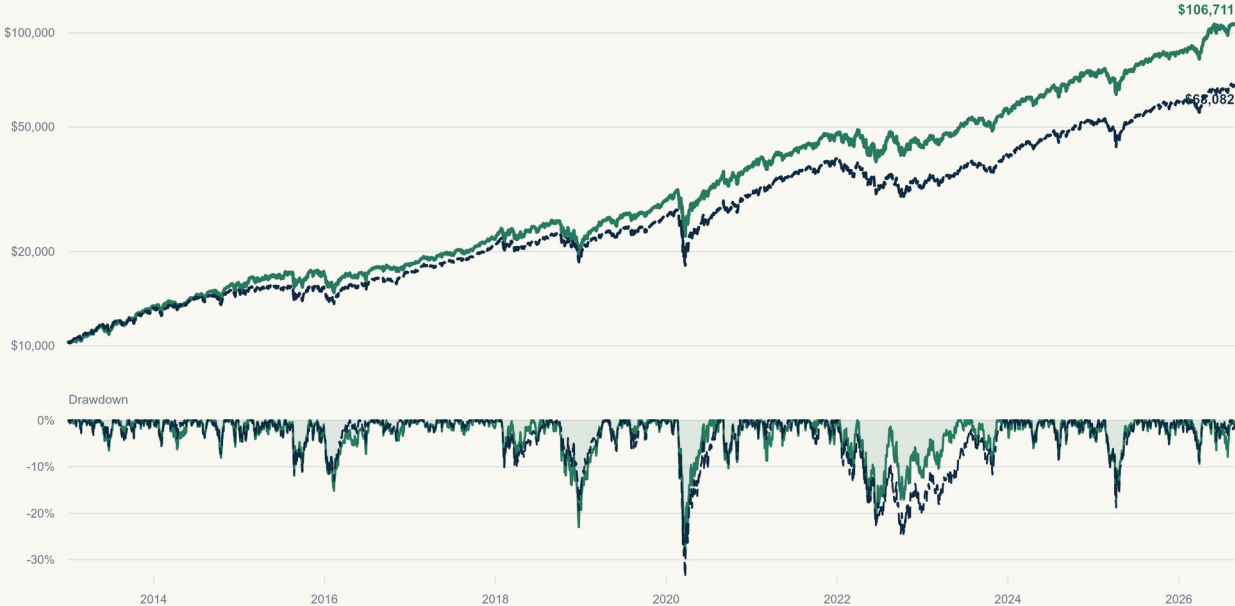
The strongest internal historical candidate warranted further testing but not promotion.

Consumed retrospective ETF replay

2013-01-02 to 2026-08-27 · adjusted-close ledger · 5 bp one-way costs · selected after viewing history

Finly G4 shadow SPY buy-and-hold

Value of \$10,000 · log scale



G4 was not promoted: multiple-testing, growth-control independence, and source-validation gates failed.
Not options P&L or a forecast.

18.97%

G4 ANNUALIZED RETURN

15.11%

SPY ANNUALIZED RETURN

-28.99%

G4 MAXIMUM DRAWDOWN

2013-01-02 to 2026-08-27 · adjusted closes · modeled 5 bp one-way turnover cost · selected after viewing history

The candidate failed the tests intended to distinguish a compelling chart from deployable evidence.

REJECTED

Calendar and cost sensitivity passed. The inferential and independence gates did not.

GATE	OBSERVED	REQUIRED
Deflated Sharpe probability	3.75%	≥95%
		FAIL
Worst adjusted familywise p-value	0.3718	≤0.05
		FAIL
Static growth-control independence	Unsupported	Supported
		FAIL
Authenticated source overlap	Not passed	Passed
		FAIL

A strategy can remain a useful hypothesis without receiving permission to trade.

Later constrained search strengthened the refusal rather than rescuing the original result.

7

HASH-FROZEN RETROSPECTIVE G6 CHALLENGERS

0

NEW CHALLENGERS PROMOTED

113

CONSERVATIVE MIXED LEDGER ITEMS



G4

Attractive replay

Selected after history



CORRECTIONS

Multiplicity exposed

Promotion gates fail



G6

Seven hash-frozen candidates

Retrospective; no selection



DECISION

Keep G4 descriptive

Deploy none

The count includes controls, rejected or unexecuted suggestions, invalidated and aborted runs, and reruns—not 113 independent viable strategies.

Production Finly traded raw return for lower risk; its next proof begins at zero.

FIXED HOLDOUT · 2025-01-02 TO 2026-08-28

tsmom_ensemble_vol

SPY/BIL trend + volatility policy · G4 remained a rejected shadow

METRIC	PRODUCTION	SPY
Annualized return	11.13%	19.19%
Annualized volatility	8.31%	17.33%
Maximum drawdown	-5.79%	-18.76%

Latest research-only proposal: 95.71% SPY / 4.29% BIL. The paper account stayed defensive; no mutation was requested.

FORWARD TRIAL 1

0

of 252 settled observations

No next-month inference. Production writes, broker authority, and performance inference remain disabled.

1 Commit

2 Anchor

3 Settle

4 Infer

A local hash does not prove capture timing; the independent pre-execution anchor remains closed.

Any Alpaca options order must pass through a deterministic, defined-risk gateway.



\$366

EXACT MAX LOSS IN CHECKED
FIXTURE

4/4

SOURCE-REMOVAL CHALLENGES

32/32

PERTURBATION CHALLENGES

Authenticated Alpaca
evidence is read-only; no
order or fill is presented
as performance
evidence.

Finly makes its authority boundary inspectable now; forward returns remain the next test.

TECHNOLOGY

The authority boundary is implemented, tested, and inspectable—not merely described.

ORIGINALITY

Finly treats correction, refusal, and claim governance as product behavior.

PRESENTATION

Every headline is traceable to a locked evidence surface and explicit limitation.

P&L

The consumed ETF replay is descriptively attractive; options execution and forward performance remain the next proof.

Finly does not ask one historical chart to carry more weight than it can bear. It shows why a proposal was permitted or refused, and leaves profitability to the forward record.